GradientCIO

PRIVATE MARKETS PORTFOLIO CONSTRUCTION

# Northstar Private Markets Program (TEST)

Decision pack · prepared for the Investment Committee (TEST)

AS OF
2026-06-30

BASE CURRENCY
USD

TOTAL NAV
$1,000.0M

PRIVATE-MARKETS NAV
$230.0M

UNFUNDED COMMITMENTS
$92.0M

DATA SCOPE
Fictional TEST data

PRIVATE-MARKETS PROGRAM STATUS
**Pacing and concentration on watch**

EVIDENCE COMPLETENESS
**8 of 9 · Partial**

# 01 Executive Decision

Recommendation and committee action

PRIVATE-MARKETS PROGRAM STATUS

## Pacing and concentration on watch

EVIDENCE COMPLETENESS · 8/9

RECOMMENDATION

We recommend a two-year $80.0M commitment program that shifts new commitments toward infrastructure and secondary private equity while keeping private-markets exposure inside the 15.0%–30.0% policy range S3 S6. Committee action requested: approve the program ceiling and first-year pacing, subject to manager diligence and quarterly liquidity tests S3 S7.

| PRIVATE-MARKETS WEIGHT | UNFUNDED COMMITMENTS | LIQUID COVERAGE | POLICY STATUS |
|---|---|---|---|
| 23.0% | $92.0M | 4.8x | Watch |
| Policy range 15.0%–30.0% S3 | 9.2% of NAV S4 | Governed base case S3 | Manager concentration S3 |

**Recommendation and action requested**

We recommend a two-year $80.0M commitment program. Committee action requested: approve a $45.0M first-year ceiling and require completed diligence before each commitment S3 S6 S7.

DECISION SUMMARY

| DECISION ELEMENT | PROPOSED ACTION | EVIDENCE | STATUS |
|---|---|---|---|
| Program size | $80.0M over two years | S6 | Proposed |
| First-year ceiling | $45.0M | S6 | Proposed |
| Policy fit | Remain within 15.0%–30.0% | S3 | Compliant |

**Conditions and limits**

Each manager requires completed operational and GIPS diligence; quarterly pacing proceeds only while governed liquidity coverage remains at or above the returned policy threshold S3 S7.

**Key judgment — headline signal**

Observation: The fictional TEST report carries a Pacing and concentration on watch signal S1. Why it matters: The signal frames the review. Uncertainty: Evidence coverage is bounded. What would change the view: New governed evidence that changes the signal.

**Key judgment — primary measure**

Observation: Private-markets weight is 23.0% in the TEST evidence S2. Why it matters: This measure anchors the executive view. Uncertainty: The fixture is deliberately compact. What would change the view: A refreshed source with a materially different value.

**Key judgment — monitoring priority**

Observation: Policy status is Watch in the TEST evidence S3. Why it matters: It identifies a monitoring priority. Uncertainty: Supporting detail is limited. What would change the view: Corroborated evidence that resolves or reverses the item.

## 02 Mandate and Construction Objective

Policy and program constraints

| | |
|---|---|
| Portfolio | **Northstar Total Fund (TEST)** S2 |
| Objective | **Diversified private-markets program** S7 |
| Horizon | **10 years** S5 |
| Target range | **15.0%–30.0% of total NAV** S3 |
| Base currency | **USD** S2 |
| Data scope | **Fictional TEST data** S1 S1 |

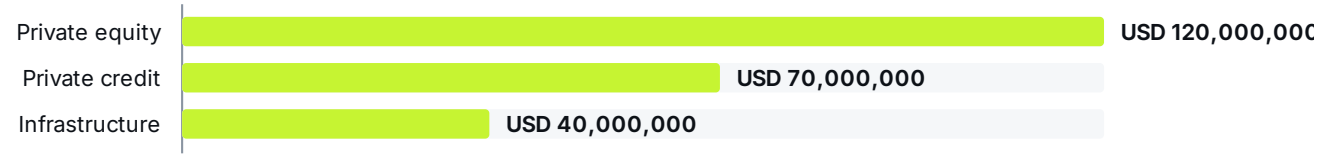
### GOVERNED FRAMEWORK

| AREA | OBJECTIVE OR LIMIT | OBSERVED | STATUS | SOURCE |
|---|---|---|---|---|
| Private markets | 15.0%–30.0% | 23.0% | Compliant | S3 |
| Single manager | At or below 12.0% | 11.4% | Watch | S3 S4 |
| Unfunded ratio | At or below 12.0% | 9.2% | Compliant | S3 |

## 03 Current Private Markets Portfolio

NAV, commitments and valuation dates

### PRIVATE-MARKETS NAV BY STRATEGY (TEST)




### CURRENT PROGRAM SNAPSHOT

| STRATEGY | NAV | UNFUNDED | COMMITMENT | % NAV | VALUATION DATE |
|---|---|---|---|---|---|
| Private equity | $120.0M | $42.0M | $210.0M | 12.0% | 2026-03-31 S4 |
| Private credit | $70.0M | $30.0M | $125.0M | 7.0% | 2026-03-31 S4 |
| Infrastructure | $40.0M | $20.0M | $75.0M | 4.0% | 2026-03-31 S4 |

All reported private-market NAVs are dated 2026-03-31 and therefore lag the report date; unfunded amounts are shown separately and are not included in NAV S4.

# 04 Historical Performance and Attribution

Returned portfolio evidence; sleeve gaps remain explicit

### STANDARD PERIODS

| PERIOD | PORTFOLIO / SLEEVE | BENCHMARK | EXCESS | COVERAGE |
|---|---|---|---|---|
| 1Y total portfolio | 7.2% | 7.6% | -0.4pp | Complete S8 |
| 3Y total portfolio (ann.) | 6.8% | 6.5% | +0.3pp | Complete S8 |
| Private-markets sleeve | Not available — sleeve return not returned | Not available | Not available | Unavailable S8 |

### ATTRIBUTION EFFECTS

| EFFECT | CONTRIBUTION | SOURCE |
|---|---|---|
| Private-assets total effect | +0.12pp | S8 |
| Total active return | -0.20pp | S8 |
| Residual | 0.00pp | S8 |

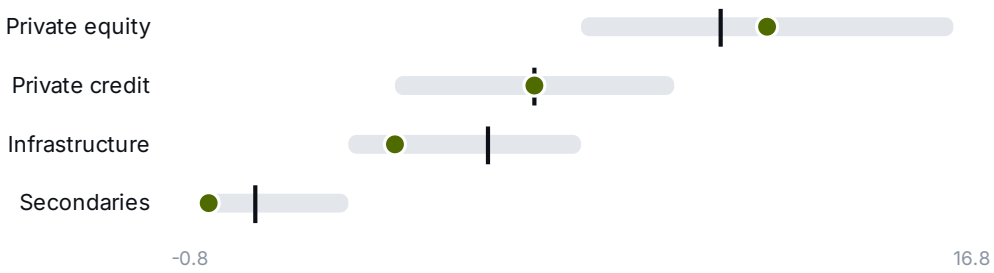
### METHOD

| | |
|---|---|
| Method | **Brinson-Fachler** S8 |
| Linking | **Symmetric Carino** S8 |
| Basis | **Net, monthly linked** S8 |
| Tolerance | **1 bp; reconciled** S8 |

# 05 Target Portfolio Structure

The proposed mix reduces concentrated risk while preserving mandate exposure

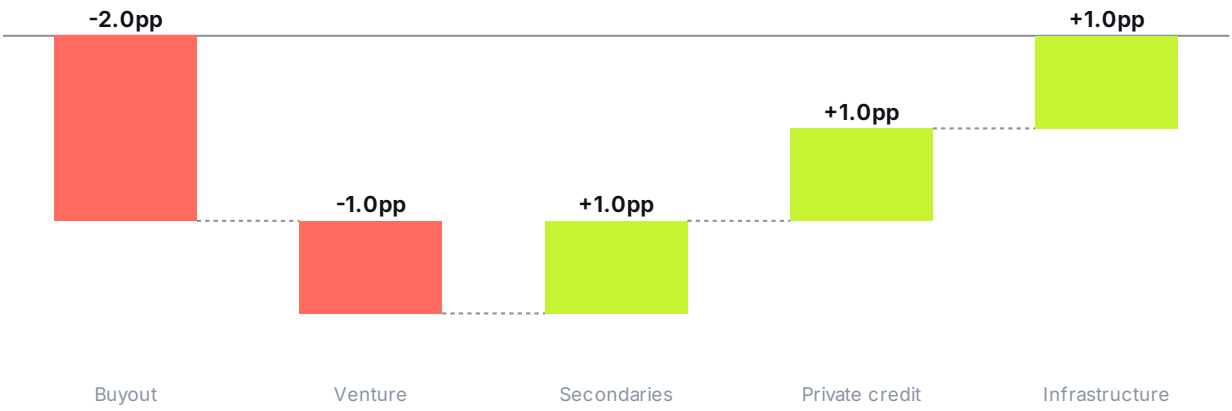
### CURRENT WEIGHT VERSUS POLICY RANGE




### CURRENT AND TARGET MIX



### TARGET ALLOCATION CHANGES (PERCENTAGE POINTS)




### CURRENT VERSUS TARGET

| SEGMENT | CURRENT | TARGET | CHANGE | RANGE / CONSTRAINT | RATIONALE |
|---|---|---|---|---|---|
| Private equity | 12.0% | 11.0% | -1.0pp | 8.0%–16.0% | Use slower new pacing S3 S6 |
| Private credit | 7.0% | 7.0% | 0.0pp | 4.0%–10.0% | Maintain income role S5 S7 |
| Infrastructure | 4.0% | 6.0% | +2.0pp | 3.0%–8.0% | Direct new commitments here S5 S6 |
| Secondaries | 0.0% | 1.0% | +1.0pp | At or below 3.0% | Add vintage diversification S6 S7 |

**Analysis — Why this target**

Observation: New pacing shifts exposure toward infrastructure and secondaries S6. Why it matters: The mix broadens within policy S3. Uncertainty: CMA consensus, macro regime and manager findings remain incomplete S7. What would change the view: Weaker liquidity coverage or completed context that does not support the proposed roles S3 S7.

Targets are a committee proposal from the fictional mandate and returned policy headroom; they are not changes saved to GradientCIO S3 S7.

## 06 Forward Return and Risk

Governed assumptions frame tradeoffs rather than forecasts

| | |
|---|---|
| Assumption set | **2026 Strategic CMA (TEST)** S5 |
| Regime | **Baseline** S5 |
| Horizon | **10 years** S5 |
| Currency | **USD** S5 |
| Context fingerprint | **test-pm-forward-2026** S5 |

### PRIVATE-MARKET FORWARD ASSUMPTIONS (TEST)

| SEGMENT | EXPECTED RETURN | EXPECTED VOLATILITY |
|---|---|---|
| Private equity | 9.6% | 18.5% |
| Private credit | 7.1% | 9.2% |
| Infrastructure | 7.8% | 11.8% |

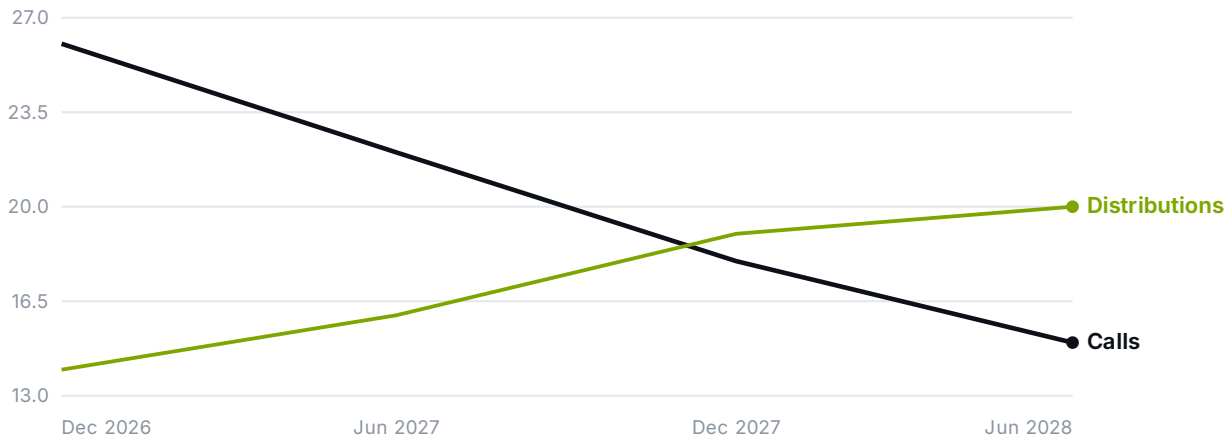
> **Analysis — Assumptions frame tradeoffs**
> Observation: Private equity carries the highest expected return and volatility in the selected assumptions S5. Why it matters: Segment sizing trades return potential against risk. Uncertainty: These are long-horizon assumptions, not forecasts. What would change the view: A refreshed governed assumption set with materially different relative return or volatility S5.

The figures are long-horizon assumptions under the selected context, not forecasts or guarantees S5.

## 07 Commitments, Pacing and Cash Flow

Returned portfolio commitment schedule

### COMMITMENT PACING (USD MILLIONS)




Returned TEST projection S6.

### PROJECTED CALLS AND DISTRIBUTIONS (TEST)

| PERIOD | CALLS | DISTRIBUTIONS |
|---|---|---|
| 2026 H2 | USD 26,000,000 | USD 14,000,000 |
| 2027 H1 | USD 22,000,000 | USD 16,000,000 |
| 2027 H2 | USD 18,000,000 | USD 19,000,000 |
| 2028 H1 | USD 15,000,000 | USD 20,000,000 |

### NEAR-TERM PACING

| PERIOD | CALLS | DISTRIBUTIONS | NET CASH FLOW | BASIS | SOURCE |
|---|---|---|---|---|---|
| 2026 H2 | $26.0M | $14.0M | -$12.0M | Returned projection | S6 |
| 2027 H1 | $22.0M | $16.0M | -$6.0M | Returned projection | S6 |

| PERIOD | CALLS | DISTRIBUTIONS | NET CASH FLOW | BASIS | SOURCE |
|---|---|---|---|---|---|
| 2027 H2 | $18.0M | $19.0M | +$1.0M | Returned projection | S6 |

# 08 Liquidity and Denominator Risk

Coverage remains adequate under the fictional TEST stress case

### GOVERNED SCENARIO COVERAGE




Denominator stress is unavailable S3 S6.

### LIQUIDITY COMPOSITION (TEST)




### LIQUIDITY PROFILE

| BUCKET | % NAV | AMOUNT | REQUIREMENT | STATUS |
|---|---|---|---|---|
| Daily to quarterly | 44.0% | $440.0M | At least 25.0% | Compliant |
| Over two years / locked | 23.0% | $230.0M | At or below 30.0% | Compliant |

| | |
|---|---|
| Liquid assets | **$440.0M** S3 |
| Unfunded commitments | **$92.0M** S4 |
| Base coverage | **4.8x** S3 |
| Near-term projected calls | **$48.0M** S6 |

**Analysis — Coverage supports pacing**

Observation: Base liquid coverage is 4.8x against unfunded commitments S3 S4. Why it matters: Current resources support the staged pacing case. Uncertainty: No governed denominator stress result is available. What would change the view: Lower liquid resources, higher calls, or a returned stress result below the policy threshold S3 S6.

### SUPPORTED SCENARIOS

| SCENARIO | LIQUID RESOURCES | FUNDING NEED | COVERAGE | STATUS |
|---|---|---|---|---|
| Governed base case | $440.0M | $92.0M | 4.8x | Compliant |
| Denominator stress | Not available — no governed stress result | Not available | Not available | Not Assessed |

# 09 Diversification and Manager Diligence

Concentration and pre-commitment conditions

### DIVERSIFICATION

| AXIS | LARGEST EXPOSURE | SHARE | LIMIT | STATUS |
|---|---|---|---|---|
| Manager | Example Private Manager A (TEST) | 11.4% | 12.0% | Watch |
| Strategy | Private equity | 52.2% of private NAV | Not assessed | Not Assessed |

### MANAGER EVIDENCE

| MANAGER / FUND | EXPOSURE | DILIGENCE STATUS | OPEN FINDINGS | NEXT STEP |
|---|---|---|---|---|
| Example Private Manager A (TEST) | $114.0M | Current S7 | 1 Medium S7 | Close valuation-control follow-up |
| Proposed infrastructure manager | Not funded | Not assessed S7 | Not assessed | Run manager comparison and ODD |

# 10 Proposed Program and Implementation

Phased commitments with decision gates

### COMMITMENT PROGRAM

| PERIOD | SEGMENT | PROPOSED AMOUNT | FUNDING SOURCE | CONDITION | SOURCE |
|---|---|---|---|---|---|
| 2026 H2 | Infrastructure | $25.0M | Distributions and liquid reserve | Complete ODD | S6 S7 |
| 2027 H1 | Private credit | $20.0M | Distributions | Coverage remains compliant | S3 S6 |
| 2027 H2 | Secondaries | $20.0M | Distributions and cash | Committee checkpoint | S3 S6 |

| PERIOD | SEGMENT | PROPOSED AMOUNT | FUNDING SOURCE | CONDITION | SOURCE |
|---|---|---|---|---|---|
| 2028 H1 | Reserve | $15.0M | To be determined | Evidence refresh | S6 |

### ALTERNATIVES CONSIDERED

| ALTERNATIVE | BENEFIT | COST / RISK | REASON NOT SELECTED |
|---|---|---|---|
| No new commitments | Maximum liquidity | Target exposure declines | Does not address program objective S3 S6 |
| Front-load commitments | Faster target progress | Higher near-term calls | Coverage sensitivity S3 S6 |

- Phase each commitment after diligence clearance S7.
- Refresh pacing and policy liquidity quarterly S3 S6.
- Return to committee if manager concentration reaches its governed limit S3.

# 11 Risks, Open Items and Approvals

Conditions that govern implementation

### DECISION RISKS

| PRIORITY | RISK | EVIDENCE | MITIGATION / CONDITION | OWNER |
|---|---|---|---|---|
| High | Valuation and denominator lag | Q1 valuations S4 | Quarterly headroom test | Investment staff |
| Medium | Manager concentration | 11.4% vs 12.0% S3 S4 | Cap follow-on commitments | CIO |
| Medium | Near-term net calls | $18.0M through 2027 H1 S6 | Maintain liquidity gate | Treasury |

### OPEN ITEMS AND APPROVALS

| TIMING | ITEM | REQUIRED EVIDENCE | OWNER | STATUS |
|---|---|---|---|---|
| Before approval | Confirm first manager | Comparison and ODD | Private markets team | Open S7 |
| Within 30 days | Document pacing limits | Final program schedule | CIO | Open S6 |
| Next review | Refresh valuations | 2026 Q2 NAVs | Operations | Open S4 |

# 12 Coverage

| | | |
|---|---|---|
| **Portfolio and allocation** | **Available** | Fictional TEST data S2 |
| **Policy** | **Available** | Allocation, liquidity and concentration S3 |
| **Exposure** | **Available** | NAV, commitments and unfunded S4 |
| **Forward assumptions** | **Available** | 2026 Strategic CMA (TEST) S5 |
| **Commitments charts** | **Available** | Returned pacing projection S6 |
| **Manager diligence** | **Degraded** | Proposed manager not assessed S7 |
| **Returns and attribution** | **Degraded** | No sleeve-specific return S8 |

# A Appendix A — Sources

| TAG | EVIDENCE | TOOL / VIEW | KEY PARAMETERS | AS OF | DATA SCOPE | VALIDATION | DIGEST |
|---|---|---|---|---|---|---|---|
| S1 | Organization and capabilities | list_organizations; get_gradient_capabilities | organization=test | 2026-06-30 | Fictional TEST data | passed | pm-s1 |
| S2 | Portfolio and allocation | list_portfolios; get_portfolio_structure | allocation_tree | 2026-06-30 | Fictional TEST data | passed | pm-s2 |
| S3 | Policy assessment | check_portfolio_policy | portfolio=test | 2026-06-30 | Fictional TEST data | passed | pm-s3 |

| TAG | EVIDENCE | TOOL / VIEW | KEY PARAMETERS | AS OF | DATA SCOPE | VALIDATION | DIGEST |
|---|---|---|---|---|---|---|---|
| S4 | Private-market exposure | get_portfolio_exposure | all pages | 2026-03-31 | Fictional TEST data | passed | pm-s4 |
| S5 | Forward assumptions | get_capital_market_assumptions | baseline | 2026-06-15 | Fictional TEST data | passed | pm-s5 |
| S6 | Commitments and pacing | get_chart_data | commitments | 2026-06-30 | Fictional TEST data | passed | pm-s6 |
| S7 | Manager evidence and mandate | User document; diligence evidence | fictional | 2026-06-30 | Fictional TEST data | advisory | pm-s7 |
| S8 | Returns and attribution | get_portfolio_historical_returns; get_portfolio_attribution | all sections | 2026-06-30 | Fictional TEST data | degraded | pm-s8 |

# B Appendix B — Server Metric Methods and Disclosures

### SERVER METRIC METHODS

| SOURCE | QUANTITY | METHOD / FORMULA | VERSION | BASIS / UNITS / TOLERANCE |
|---|---|---|---|---|
| S3 | Policy status | Governed portfolio assessment | portfolio-policy-v1 | Returned status |
| S4 | Exposure | Server exposure aggregation | portfolio-exposure-v1 | USD; unfunded separate |
| S5 | Forward statistics | Expected-statistics charts | chart-contract-v1 | 10-year assumptions |

| SOURCE | QUANTITY | METHOD / FORMULA | VERSION | BASIS / UNITS / TOLERANCE |
|---|---|---|---|---|
| S6 | Commitment pacing | Returned commitments pack | chart-contract-v1 | Projected cash flows |

- Private-market valuations may lag the report date S4.
- Forward values are assumptions, not forecasts or guarantees S5.
- Portfolio Analytics and Strategy Lab are separate analytical scopes.
- This AI-assisted construction analysis is not investment, legal or compliance advice.